

of the contract, depending on the commodity. That money is placed in escrow until the contract expires.

Here is an example of how a commodities futures contract may be used. Assume that an oil refinery wants to lock in the price it pays for crude oil three months in advance. The refinery simply buys crude oil futures for delivery in three months and puts up a small amount of margin. Now the refinery knows the price that it will pay for crude three months in advance and can budget for it. In the same way, oil producers can sell oil futures to be delivered in three months, even though they do not have the oil on hand today. This allows the oil producers to know what price they will receive for the oil they sell three months from now and know how much they will need to produce.

The price of a futures contract depends on many factors. The most important factor is the spot price of the commodity. Typically, a near-term futures contract will be priced very close to the spot price. Other factors that influence price include the outlook for supply and demand, the cost of storage until delivery, and the level of interest rates between now and the delivery date. At times the futures price of a commodity contract may be higher than the spot price, and at other times it may be lower. This depends on the consensus price forecast. [Figure 10-4](#) illustrates the historical difference in price between CRB spot prices and one-month CRB futures prices.

It is interesting to note that during the 1990s, near-term delivery futures prices lagged spot commodity prices by a considerable amount. During the decade, futures buyers were anticipating lower raw material costs as productivity gains and foreign competition drove prices down. A low point for commodities futures prices relative their spot prices occurred in the late 1990s. Futures prices rallied during the past decade. This caused the spread between spot prices and futures prices to disappear. For a while demand for futures-related products become so great that the return from futures was higher than the return from spot prices. This created a one-time excess gain for futures market investors that has since gone away.

FIGURE 10-4 CRB Commodities Spot Prices versus near Contract Futures Prices